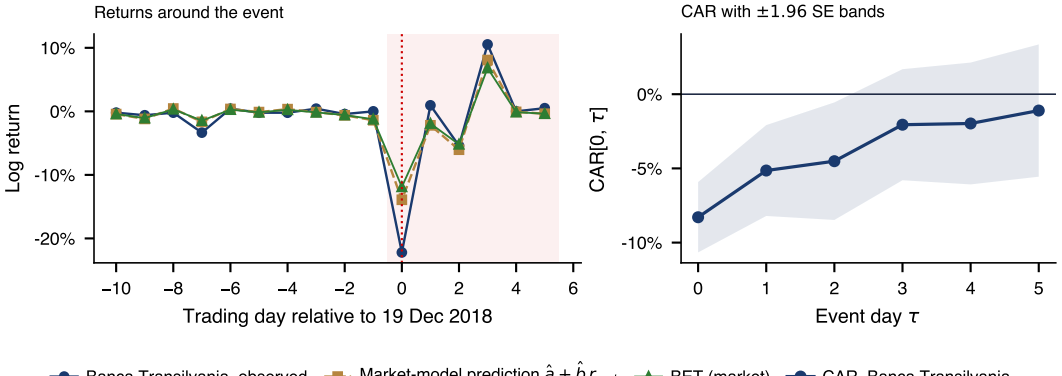
Returns around the event
Log return
10%
0%
-10%
-20%
−10
−8
−6
−4
−2
0
2
4
6
Trading day relative to 19 Dec 2018
CAR with ±1.96 SE bands
CAR[0, τ]
0%
-5%
-10%
0
1
2
3
4
5
Event day τ
Banca Transilvania, observed
Market-model prediction $\hat{a} + \hat{b}\, r_{m,t}$
BET (market)
CAR, Banca Transilvania